

Question ID: 662ebff2

Question

In response to concerns that some recent financial crises were exacerbated by consumers misunderstanding risks associated with credit cards, loans, and other financial products, policymakers in many countries have instituted risk-disclosure requirements on sellers of those products. Enrique Seira et al. investigated a variety of risk-disclosure messages sent to thousands of credit card customers and found that the messages had only small and short-lived effects on behavior. Seira et al. asserted that such effects may nevertheless be worth pursuing, given the negligible cost of messaging.

Which choice best describes the function of the underlined portion in the text as a whole?

Answer

- A. It notes a factor that led Seira et al. to not dismiss risk-disclosure messaging altogether despite their evidence of its limited utility.
- B. It acknowledges a type of risk-disclosure messaging that Seira et al. may not have fully accounted for in their study.
- C. It describes a consideration that explains why Seira et al. recommended risk-disclosure messaging even though its effects may be small relative to its costs.
- D. It points out a circumstance that Seira et al. conceded may make risk-disclosure messaging more effective than their study suggests.